IN THE INDUSTRIAL COURT OF MALAYSIA
PERAK BRANCH

CASE NO. 10/4-1123/24

BETWEEN

SITI AZMAH BINTI MAT TAIB

AND

TRAPIA MALAYSIA SDN. BHD.

AWARD NO. 1806 OF 2025

BEFORE	:	**Y.A TUAN ZULHELMY BIN HASAN – CHAIRMAN**
VENUE	:	Industrial Court of Malaysia, sitting at Ipoh, Perak
DATE OF REFERENCE	:	26/11/2018
DATE(S) OF MENTION	:	16/10/2024, 16/12/2024 & 04/02/2025
DATE OF HEARING	:	30/07/2025
REPRESENTATIVES	:	**Lim Yuh Shiun** Messrs. S. Ravichandaran & Anuar Counsel for the Claimant **Yeop Ming Ming** with **Khaw Veon Szu** Messrs. Veon Szu & Kok Thye Counsel for the Company

Reference:

This is a reference by the Honourable Minister of Human Resources under **Section 20(3)** of the **Industrial Relations Act 1967** dated 20/11/2018 arising out of the unfair dismissal of **SITI AZMAH BINTI MAT TAIB** (hereinafter to be referred as "the Claimant") by **TRAPIA MALAYSIA SDN. BHD.** (hereinafter to be referred as "the Company") on 06/08/2018.

AWARD

Factual Backgrounds:

[1] Vide an Award No. 2656 of 2019 dated 04/10/2019, the Industrial Court at Ipoh, Perak dismissed the Claimant's claim filed against the Company under Industrial Court Case No. 10/4-3078/18.

[2] Thereafter, the Claimant filed an application for Judicial Review at the High Court at Ipoh, Perak seeking *inter alia*, an Order of Certiorari to quash the Award No. 2656 of 2019 vide Judicial Review application registered as AA-25-1-01/2020.

[3] On 15/05/2024, the High Court at Ipoh, Perak allowed the Judicial Review application where it was ordered that: -

"a) Permohonan Pemohon untuk membatalkan keseluruhan Award No. 2656 Tahun 2018 bertarikh 4 Oktober 2019 (Award tersebut) kes Mahkamah Perusahaan No. 10/4-3078/18 dibenarkan;

b) Kes ini diremitkan ke Mahkamah Perusahaan untuk tujuan penentuan "reinstatement" dan/atau pampasan yang sewajarnya di bawah undang-undang; dan

c) Responden Pertama membayar kos sebanyak RM5,000.00 kepada Pemohon tertakluk kepada fi alokatur."

[4] Pursuant to the above High Court Order dated 15/05/2024 the matter was remitted to this Industrial Court for the sole purposes of determining the possibility of reinstatement and/or necessary compensation.

[5] The Claimant was employed by the Company as a Human Resource Manager vide Letter of Appointment dated 14/04/2014 (pages 15-18 of CLB) with a monthly basic salary of RM7,500.00 effective 14/04/2014. She was confirmed in her position as Human Resource Manager vide Letter of Confirmation dated 01/10/2024 (page 19 of CLB) with revised salary from RM7,500.00 to RM8,500.00 per month effective 01/10/2024. Her employment was on permanent nature. The Claimant was unfairly terminated by the Company on 06/08/2018 vide Letter of Termination dated 26/07/2018 (pages 23-24 of CLB) after serving the Company for more than four (4) years.

[6] On the date of hearing of this case on 30/07/2025, the Claimant had reached her age of 64 years old, way beyond minimum and statutory retirement age of 60 years old. Wherefore the Claimant prays that this Industrial Court award a remedy for compensation in lieu of reinstatement and back wages from the date of her dismissal.

The Claimant's Case:

[7] Pursuant to the Letter of Confirmation dated 01/10/2014 (page 19 of CLB), the Claimant's employment with the Company was confirmed and her basic salary was increased from RM7,500.00 to RM8,500.00 per month. However, the Claimant

was not paid the increased salary of RM8,500.00 per month, instead merely received RM7,500.00 per month. Thus, the Claimant is entitled to the increase salary of RM8,500.00 per month because the Letter of Confirmation was validly and legitimately signed by the Company's authorized representative, one **Mr. Eric Vigne**. The Claimant is also entitled to the fixed monthly allowance of RM2,500.00 in view of the expanded responsibilities. The Company failed to pay the monthly allowance of RM2,500.00 to the Claimant for the expanded role.

[8] The Claimant had to take on additional job responsibilities since mid-2015 as some of the employees of the Company had left, and in light of the expanded responsibilities, the Company issued a letter to the Claimant on 01/08/2015 informing the Claimant that her basic salary would be increased from RM7,500.00 to RM8,000.00 per month and that the Claimant would also be entitled to a monthly allowances of RM2,500.00 which for the purpose of calculating the quantum of compensation and backwages, ought to be treated as part of the Claimant's monthly salary.

[9] The Claimant is entitled to the monthly handphone allowance of RM100.00 per month which for the purposes of calculating the quantum of compensation and back wages, ought to be treated as part of the Claimant's monthly salary.

[10] Wherefore the Claimant prays that this Court order the followings: -

(a) That the Claimant be paid compensation in lieu of reinstatement in light of the fact that the Claimant is 63 years old as of the date of filing of her present claims;

(b) That the Claimant be awarded backwages from the date of dismissal and that any order for backwages by this Court include consequential orders for the statutory contributions EPF/SOSCO by the Company and interest on all monetary order and/or alternative relief as this Court deems fit and proper.

The Company's Case:

[11] The Company reiterates that upon receiving the Letter of Termination from the Company, the Claimant did not object but agreed that her last day of service with the Company is to be on 06/08/2018 and she had actively bargained for compensation by demanding that the Company shall pay her for the sum of RM20,670.41 and the payment for it shall be made on 03/08/2018.

[12] The Company disputed the Claimant's case that she is not entitled to compensation in lieu of reinstatement as the reinstatement is neither possible nor appropriate due to the fact that the Claimant had been separated from the Company for more than six (6) years, and the reinstatement would be impractical and disruptive to the current operational structure. Moreover, the Claimant has exceeded the statutory retirement age, making any claim for compensation in lieu of reinstatement untenable under the law.

[13] The Company contends that the Claimant is not entitled to claim back wages whereof it is discretionary remedy and be granted only when justified by the facts. Given the significant passage of time, awarding back wages would be highly prejudicial to the Company. The Claimant's age and prolonged absence from

employment with the Company also make any claim for back wages legally unsustainable as back wages should be limited where reinstatement is impractical, especially when the Claimant has passed the statutory age.

[14] The Company avers that the Claimant has mitigated her losses by accepting the compensation by the Company and by securing alternative employment post-termination. Any demand for statutory contributions (EPF & SOCSO) and interest on all monetary orders (if any) prays for before this Court is untenable under the law and without legal basis. Wherefore the Company prays that the Claimant's claim be dismissed.

Cause Papers, Bundle of Documents, Witness Statements & Written Submissions Referred:

[15] In the course of hearing, the Claimant (CLW-1) was the sole witness in her own case, whereby the Company called one witness, **Ang Ting Cheong** (COW-1) to testify for the Company's case.

[16] In the same course of hearing, parties had filed and referred the Court for the following documents: -

(i) Statement Of Case dated 08/11/2024;

(ii) Statement In Reply dated 19/02/2025;

(iii) Rejoinder dated 11/03/2025;

(iv) Claimant's Bundle of Documents marked as CLB;

(v) Company's Bundle of Documents marked as COB;

(vi) Witness Statements of **Siti Azmah Binti Mat Taib** (CLW-1) dated 30/7/2025 marked as CLWS-1;

(vii) Witness Statements of **Ang Ting Cheong** (COW-1) dated 30/7/2025 marked as COWS-1;

(viii) Claimant's Written Submissions dated 26/09/2025;

(ix) Company's Written Submissions dated 27/09/2025;

(x) Claimant's Submissions in Reply dated 17/10/2025; and

(xi) Company's Reply Submissions dated 17/10/2025

Evaluation of Evidence & Findings:

[17] On the issue of whether the Claimant's dismissal was with just cause or excuse, would be no longer an issue which had already been conclusively decided by the High Court in the Judicial Review Application upon which this Industrial Court bound to follow as ordered, not to relitigate the issue of whether the Claimant's dismissal was with just cause or excuse.

[18] In the instance case, it shall be the duty of the workman to mitigate against loss but the burden of proving that the workman has not done so lies with the employer. Such mitigation shall be made against back wages only. No deduction be made in respect of the compensation in lieu of reinstatement. In view of the fact that it is not in dispute that the Claimant has been dismissed without just cause or excuse, the sole is issue to be determined by this Court is the quantum of compensation and backwages to which the Claimant is entitled.

[19] **Section 4(1) Minimum Retirement Age Act 2012** stipulates that the minimum retirement age is 60 years. As the Claimant is 64 years old this year (2025) and has passed the statutory retirement age, reinstatement may not be the most appropriate remedy. The Claimant has long surpassed the statutory threshold. There is no contractual clause displacing the statutory age. The Claimant had worked for the Company for more than four (4) years from 14/04/2014 until her dismissal on 06/08/2018. Therefore, the calculation of completed years of service would be four (4) completed years.

[20] Notwithstanding that, pursuant to the **Practice Note No. 3 of 2019**, paragraph 2.3 has stipulated that the Court shall not order that the workman be paid compensation in lieu of reinstatement if the workman is incapable of being reinstated (e.g., statutory age of retirement). In ***Abdul Latif Abdul Malik v. Malaysia Airport Sdn. Bhd*****. [2022] 3 ILR 598,** the learned Chairman had opined that:

> *"[70] In this present case, the claimant who has attains of 61 years and 4 months old has passed his statutory age of retirement. The claimant who has passed his retirement age is not entitled for compensation in lieu of reinstatement and is only limited to backwages (See* ***Unilever (M) Holdings Sdn. Bhd. v. So Lai & Anor*** **[2015] 2 ILR 265).** *In accordance to para. 2.3 of Industrial Court of Malaysia Practice Note No. 3 of 2019; "The court shall not order that the workman be paid compensation in lieu of reinstatement if the workman is incapable of being reinstated (e.g., statutory age of retirement)."*

[21] Undoubtedly, the Claimant's age, where she was already 63 years old when she filed this reference claim herein to the DGIR. The Claimant is not entitled to compensation in lieu of reinstatement as the reinstatement is neither possible nor

appropriate on the grounds that the Claimant has exceeded the statutory retirement age, making any claim for compensation in lieu of reinstatement untenable under the law.

[22] Remedy of reinstatement as a relief sought by the Claimant is not harmonious in line with Industrial Relations due to the fact that the Claimant has been separated from the Company for more than six (6) years. Thus, reinstatement would be impractical and disruptive to the current operational structure. In the same sense, no deduction of post dismissal earning shall be ordered as she already passed mandatory retirement age.

The Claimant's Basic Salary:

[23] Pursuant to the Letter of Appointment dated 14/04/2014 (pages 15-16 of CLB) the Claimant was appointed as the Company's Human Resources Manager with a basic salary of RM7,500.00 per month. Clause 3 of the same letter, provided that the Claimant was required to undergo a probationary period of six (6) months. The Company confirmed her employment and her role as a Human Resource Manager vide Letter of Confirmation dated 01/10/2014 (page 19 of CLB) effective 01/10/2014. In the same Letter of Confirmation, the Claimant's salary will be revised from RM7,500.00 to RM8,500.00 per month with effect the same date of her confirmation i.e., 01/10/2014.

[24] The Claimant's Letter of Confirmation dated 01/10/2014 was duly signed by the Company's Farm Operation Manager, **Eric Vigne** which later no longer be

working with the Company effective 10/07/2015 as he wished to work in the different field pursuant to the letter of Organization Changed dated 18/06/2015 to all employees from the CEO of the Company, **Ang Ting Cheong** (COW-1) known as **T.C. Ang**. In the same letter of Organization Changed dated 18/06/2015, the CEO decided that Eric Vigne's position will be assumed by the Claimant as Operations and Human Resource Manager effective on the same date (10/07/2015) as this is the Company's direction to not recruit from outside and provide opportunities to local talent within the Company. The Company will announce the new organization structure of Farm in coming days focusing on local team and inform all the employees to extend their support and co-operation to the Claimant as the new Company's Farm Operations Manager.

[25] The CEO of the Company (COW-1) **T.C. Ang** also issued letter of Expanded Role dated 01/08/2015 (page 21 of CLB) to the Claimant in recognition of her expanded roles as Human Resources Manager and covering farm operations duties, the management of the Company had decided to update her designation to Operations Manager effective 01/08/2015. Her basic salary will be increased from RM7,500.00 to RM8,000.00 per month effective 01/08/2015 with allowance of RM2,500.00 per month in view of the expended responsibilities which will be paid to the Claimant along with her August 1, 2015 salary. Despite that the Claimant do not have the required aquaculture background to take up the expended responsibilities the Company recognize and appreciate her dedication, performance, support and contribution, and will support her in this working together as their work towards their goal of *"Employer of Choice"* in the journey towards better and more comprehensive benefits plus a more balanced work life.

[26] Nonetheless, the RM2,500.00 allowance was indeed a temporary allowance paid solely in relation to the Claimant's expanded role, and not a fixed or contractual allowance forming part of her permanent wages. The allowance of RM2,500.00 was expressly tied to the Claimant's temporary assumption of expended duties in respect of the farm operations. Once those responsibilities were removed and reallocated, the allowance ceased accordingly. It demonstrates beyond doubt that the RM2,500.00 allowance was never a fixed or contractual payment. The payroll records confirm that once her expanded responsibilities ceased, her salary reverted to RM8,000.00 with no continuing payment of the RM2,500.00 allowance. The Claimant raised no contemporaneous complaint or grievance at that material time, an omission that strongly implies her acceptance that the allowance had ended in accordance with its temporary nature. Thus, the Claimant's last drawn basic salary as evidenced by payroll records was RM8,000.00 without the extra allowance of RM2,500.00.

[27] Thereafter, the Company was undergoing serious financial losses exceeding RM86.5 million from 2012-2017 as referred to the Company's Statutory Financial Statements for years 2013 to 2017 (page 22-240 of COB). In the efforts to turnaround the Company, it has closed the headquarters at Ipoh of which the Claimant was aware of. The Company has also streamlined Finance team from 7 staff to 5 staff, do without the General Manager position, and sold off the Company's assets and the Hatchery unit due to the financial losses faced by the Company.

[28] As part of a genuine restructuring exercise, the Company did not employ new staff to fill in the vacancies of Maintenance Manager and Farm Operation

Manager instead asking the Claimant to fill the positions while remained the position as Human Resource Manager. That being the reason that the Company issued an organization update dated 18/06/2015 (page 290 of COB) formally announcing the Claimant's new position despite knowing the Claimant may not have the required aquaculture background to take up the expanded responsibilities.

[29] Nevertheless, the Claimant never raised any objection over the said new position, but she had full control and updated the organization structure to create the Facilities and Maintenance Operations team (emails at pages 287-288, 294-301 of COB). The Claimant was also aware that no new personnel were to be recruited for the Company due to the ongoing restructuring process. As a result of the genuine restructuring and consolidation of functions, the Company determined that the Claimant's role as Human Resource Manager was no longer required and accordingly her position was rendered redundant.

[30] Eventually, vide letter of Termination of Employment dated 26/07/2018 signed by COW-1, **Ang Ting Cheong** (page 23 of CLB) the Company decided to terminate the Claimant's employment in accordance to Clause 10 in the Employment Contract signed by the Claimant on 28/04/2014. This letter of termination is to inform the Claimant that her employment with the Company will end as of 06/08/2018, as requested by the Claimant in her email. According to the said Employment Contract, the Company paid her two (2) months' salary in lieu of notice and her balance of annual leave. The termination of the Claimant's employment is due to the following reasons: -

(i) Company has been making financial losses for past years;

(ii) As part of Company's restructuring efforts, to consolidate functions of Finance and Purchasing over the years for improving productivity and cost down whereby the Company had sold off the hatchery effective 01/08/2018; and

(iii) With streamline of workflow, the Company consolidated the Human Resources function as well.

[31] In the Acknowledgement page (page 24 of CLB) of the letter of termination dated 26/07/2018, the Claimant duly acknowledged and signed on 06/08/2018 that she received a total of termination nett payment of RM20,667.91, whereof *inter alia*, it clearly stated that the last basic salary of the Claimant for 06/09/2018 – 05/10/2018 was for RM8,000.00 per month before her termination and/or before she left the Company.

[32] The Company exhibited payment advice from Maybank2e (page 280-281 of COB) for sum payment of RM20.667.91 to the Claimant pursuant to payment for date of end employment 06/08/2018 (page 281 of COB) for the same nett amount RM20,66791 which was received by the Claimant on 03/08/2018 of which was duly acknowledged receipt by the Claimant on 06/08/2018. The Claimant then signed the acknowledgement to acknowledge receipt of the letter of termination and the payment received on 03/06/2018 and to confirm that she understood and accepted the contents (pages 276-277 of COB).

[33] Nonetheless, by reference to the Claimant's salary slip for 2nd. Half Payroll – August 2015 dated 31/08/2015 (page 22 of CLB) the Claimant received basic rate salary of RM8,000.00. Similarly, in reference to the pay slip for 2nd. Half Payroll – June 2018 dated 30/06/2018 (page 25 of CLB) and pay slip for 2nd. Half Payroll – July 2018 dated 31/07/2018 (page 26 of CLB) it is abundantly clear and profound finding that the basic salary of the Claimant was RM8,000.00 per month. These contemporaneous documents and pay slips consistently show a basic salary of RM8,000.00 per month at the time of her termination, and not RM8,500.00 as alleged by the Claimant.

[34] Notably, the Claimant asserted that **Mr. Eric Vigne** had authority to approve salary adjustments, while on the other hand conceding that such approval required higher management and/or the CEO confirmation whereof the Company disputed consistently from the outset is the validity and authorization of any salary adjustment to RM8,500.00. On contrary, the only truly reliable evidence of what the Claimant was paid are the Company's payroll records and payslips produce in evidence. All contemporaneous documents, testimony and payroll evidence confirm that the purported RM8,500.00 figure was never approved by the Company's authorized decision makers.

[35] Conversely, the Claimant never raised any contemporaneous complaint or escalation to the CEO of Board when she continued to receive RM7,500.00 per month though she believed that she is entitled to RM8,500.00 per month. One would expect her as in her capacity as HR Manager, to have immediately sought redress or clarification from higher management. Her failure to do so, and her continued

acceptance of RM7,500.00 per month without protest, speaks volumes against her credibility.

[36] Moreover, the Claimant conceded during cross-examination that **Mr. Eric Vigne** himself reported to higher management, including the CEO, except she approached COW-1 for a separate salary adjustment from RM7,500.00 to RM10,500.00. This speaks volume and it shows that she herself knew her salary would be RM7,500.00 and not RM8,500.00 even after the issuance of the Letter of Confirmation by **Mr. Eric Vigne**, and that only the CEO could approve salary changes. If so, there is no plausible reason why she would have abandoned her claim to the higher salary without even raising the matter with COW-1, unless she knew all along that the Letter of Confirmation was not validly authorized. Her silence and acquiescence amount to clear evidence that she herself recognized the Letter of Confirmation's lack of validity. It relies on the Letter of Confirmation and the surrounding evidence showing that there was no authorized salary adjustment to RM8,500.00 per month.

Conclusion:

[37] It is abundantly clear findings that the payroll records and payslips stand as the most reliable, contemporaneous evidence of the Claimant's true wages, and the contemporaneous payroll records corroborate that her basic salary was increased from RM7,500.00 to RM8,000.00, not RM8,500.00, consistent with the Company's case and directly contrary to her claim. If indeed RM8,500.00 had been approved or paid, this would have been reflected in the payroll but yet no such record exists.

[38] On final analysis, the Claimant's contradictory narration in her evidence, selective reliance on unauthorized letters and acquiescence to payroll evidence showing her last drawn salary of RM8,000.00 collectively demonstrate that her claim to RM8,500.00 per month is unmeritorious and unsubstantiated by fact or law. This Court of considered view and finding, has satisfied on balance of probability that backwages to be awarded must be strictly computed on the basis of the verified last drawn salary of RM8,000.00 in compliance with the Second Schedule of the Industrial Relations Act 1967, and not on the speculative sum of RM11,100.00 advanced by the Claimant, which is without legal or evidential foundation.

Remedy:

[39] The calculation of remedy shall be in accordance with the following computation as below: -

(i) Basic last drawn salary before termination: RM8,000.00 x 24 = RM192,000.00

(ii) Deduction of termination net payment (severance sum) of RM20,667.91 which was credited into the Claimant's bank account on 03/08/2018 (pages 272-275 & 280-281 of COB)

(iii) RM192,000.00 – RM20,667.91 = **RM171,332.09**

[40] The amount of backwages as awarded above amounting of **RM171,332.09 (Ringgit Malaysia: One Hundred Seventy One Thousand Three Hundred Thirty Two And Nine Cent Only**) subject to any statutory deductions (if any) shall be paid by the Company to the Claimant through her representative *Messrs. S. Ravichandaran & Anuar* within thirty (30) days from the date of service of this Award to parties as set forth herein, so ordered.

[41] In arriving the above decision, the Court has taken into account on totality of evidence as a whole submitted by the Company and the Claimant, the pleadings that have been filed by both parties and with regard to **s. 30(5)** of the **Industrial Relations Act 1967** which requires the Court to act in accordance with equity and good conscience and substantial merits of the case without regards on technicality and legal form.

HANDED DOWN AND DATED THIS 25th. DAY OF NOVEMBER 2025
Signed
(ZULHELMY BIN HASAN)
CHAIRMAN
INDUSTRIAL COURT OF MALAYSIA
IPOH, PERAK